
Introduction to the Chinese Financial System

LECTURE 3 CENTRAL BANK AND MONETARY POLICY

Announcement

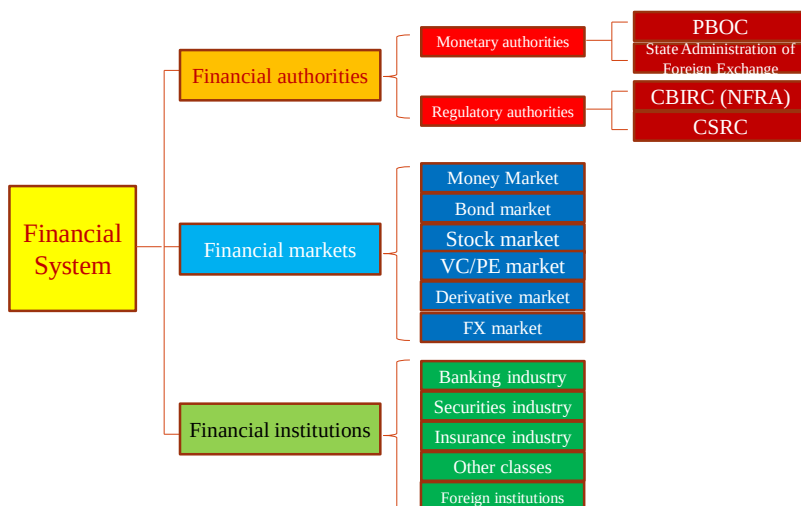
- Next Friday will be the last date to form a team. Otherwise you will be randomly assigned.
- Each team needs to have a representative and contact TA for the final topic drawing.
- Please join the course WeChat managed by TA

群聊: 2024FIMC



该二维码7天内(11月29日前)有效, 重新进入将更新

China's financial system



What is a central bank?

- The central bank is a financial management institution that performing financial management functions and maintaining financial stability on behalf of the government. It manages the currency and monetary policy of a country or monetary union, and oversees their commercial banking system.
- The earliest central bank was the Bank of England, which was established in 1694.
- Central banks were established in many European countries during the 19th century.
- The People's Bank of China evolved its role as a central bank starting in about 1979.

Classifications of central bank system

- Classifications of central bank system by autonomy:
 - Single type
 - Compound type
 - Multinational type
 - Quasi-central bank type

Classifications of central bank system

- Single central banking system
 - There is a separate central bank institution by the state, it fully and purely exercises the functions of a central bank.
 - **Unitary central banking system:** There is only one unified central bank in a country, and its institutions are generally set up under the head office and branch system. Most countries in the world have adopted this system, including China.
 - **Dual central banking system:** Two levels of central and local central banking institutions are established in a country. The central institution is the highest authority, but the local institution also has certain independent rights. This is a central banking system with the characteristics of federalism, such as United States, Germany, etc.
- Compound central banking system
 - A country does not have a bank dedicated to the functions of a central bank, but a large bank concentrates the functions of a central bank and a general commerce bank. This system mainly existed in the Soviet Union and Eastern Europe in the past, and in China until 1983.
- Multinational central banking system
 - A central banking system jointly composed of all the member countries participating in a monetary union. The European Central Bank (ECB) established in 1998 is a typical multinational central bank. ECB consists of two levels: ECB itself and the European System of Central Banks. Central banks of member countries have lost much of their independence.
- Quasi-central banking system
 - Some countries or regions only set up central bank-like institutions, or the government authorizes one or several commercial banks to exercise part of the functions of central banks, such as Singapore and Hong Kong.

The characteristics of central banks

- The central bank manages finance on behalf of the state, formulates and implements financial policies, to regulate and control the activities of the financial sector and the whole economy with its economic power.
- The activities of central banks are characterized by:
 - Not for profit
 - Do not conduct ordinary banking business
 - Have close relations with the government and enjoy privileges legally granted by the state.
 - It does not conduct business directly with industrial and commercial enterprises and individuals, and only has financial relations with the government and various financial institutions.
 - The leaders of the central bank are all directly appointed by the government.

Functions of a central bank

- There are three basic functions of a central bank:
 - Issuing bank
 - Banks' bank
 - Government's bank

Central bank functions: issuing bank

- The so-called issuing bank is to monopolize the issuing right of banknotes and become the only issuing institution of banknotes in the country.
- At present, banknotes in almost all countries in the world are issued by the central bank.
- Since the 20th century, the currency circulation of all countries has been transformed into the circulation of non-metal notes (Fiat money).
- Central banks implement a country's chosen monetary policy. At the most basic level, monetary policy involves establishing what form of currency the country may have and how much money the country needs.

Central bank functions: banks' bank

- Deposit, loan and exchange: with commercial banks and other financial institutions;
- Centralized deposit reserve: the system of centralized and unified deposit reserve of commercial banks is an important content of modern central banking system.
- Lender of last resort: central banks support commercial banks and other financial institutions in liquidity difficulties.
- Organize a national liquidation between commercial banks.

Central bank functions: government's bank

- The central bank implements fiscal and financial policies on behalf of the state, acts as an agent for the Treasury and provides various financial services to the state:
 - Acting for the state Treasury;
 - Acting for the issuance of state bonds;
 - To provide credit support to the state finance;
 - Managing foreign exchange and gold reserves;
 - Formulating and implementing monetary policies;
 - To formulate and supervise the implementation of relevant financial regulations.

G20 Members and Their Central Banks

1	Argentina	Central Bank of the Argentine Republic (Banco Central de la República Argentina - BCRA)
2	Australia	Reserve Bank of Australia (RBA)
3	Brazil	Central Bank of Brazil (Banco Central do Brasil - BCB)
4	Canada	Bank of Canada (BoC)
5	China	People's Bank of China (PBoC)
6	France	Bank of France (Banque de France - BdF)
7	Germany	Deutsche Bundesbank (often referred to simply as "Bundesbank")
8	India	Reserve Bank of India (RBI)
9	Indonesia	Bank Indonesia (BI)
10	Italy	Bank of Italy (Banca d'Italia)
11	Japan	Bank of Japan (BoJ)
12	Mexico	Bank of Mexico (Banco de México - Banxico)
13	Russia	Bank of Russia (Банк России - CBR)
14	Saudi Arabia	Saudi Central Bank (SAMA - formerly the Saudi Arabian Monetary Authority)
15	South Africa	South African Reserve Bank (SARB)
16	South Korea	Bank of Korea (BOK)
17	Turkey	Central Bank of the Republic of Turkey (Türkiye Cumhuriyet Merkez Bankası - TCMB)
18	United Kingdom	Bank of England (BoE)
19	United States	Federal Reserve (often called "The Fed")
20	European Union	European Central Bank (ECB)

the People's Bank of China (PBOC)

- The central bank of China is the People's Bank of China (PBOC)
- The People's Bank of China is a macro-control department which, under the leadership of The State Council, formulates and implements monetary policies and supervises the financial industry.
- The People's Bank of China has set up the Monetary Policy Committee, which meets regularly to analyze the situation and provide advisory opinions on the state's monetary policy decisions.

The evolution of history of PBOC

- Establishment: On December 1, 1948, it was established in Shijiazhuang through the merger of three major banks in the former liberated area, Huabai Bank, Beihai Bank and Northwest Farmers Bank.
- Since February 1949, the head office has moved to Beijing, serving as the issuing bank and the government's bank, becoming the central bank. It is also the only bank in New China that performs as both a central bank and a commercial bank.
- In September 1983, The State Council of China decided that the PBOC should exclusively perform the functions of the national central bank.
 - the Industrial and Commercial Bank of China was established to handle its commercial bank.
- From January 1, 1984, PBOC exclusively exercised the functions of a central bank and ceased to operate commercial banking business.
- The Law of the People's Republic of China on the People's Bank of China, adopted on March 18, 1995, established its legal basis as a central bank.

The functions of PBOC

- The bank of currency issuing
 - Monopolize the issue of RMB, is the issuing bank;
- The bank of the government
 - Managing financial institutions and financial activities on behalf of the government, managing the Treasury and acting as the bank of the government;
- The bank of banks
 - As the lender of last resort, it provides financial support to commercial banks and is the bank of banks.

Central bank independence issues

- The issue of central bank independence refers to the degree of legal or actual autonomy that central banks have in the decision-making and operation of monetary policy.

Q: Why should CB be independent from Gov.?

Why should CB be independent from Gov.?

• Monetary Policy Effectiveness

- **Inflation Control:** An independent central bank is better able to focus on long-term price stability. For example, if a central bank is under the direct influence of the government, there may be political pressures to adopt expansionary monetary policies such as excessive money printing to finance government spending. This could lead to high inflation. Independent central banks can set interest rates and money supply targets based on economic fundamentals and inflation forecasts, rather than short-term political considerations.
- **Economic Cycle Management:** Central banks play a crucial role in smoothing out the economic cycle. They can adjust interest rates to stimulate or cool down the economy. If they are independent, they can make decisions in a timely manner without being delayed by bureaucratic decision-making processes or political wrangling. For instance, during an economic recession, an independent central bank can quickly cut interest rates and implement quantitative easing measures to boost economic activity.

• Credibility and Market Confidence

- **Investor Confidence:** Independence gives the central bank more credibility in the eyes of domestic and international investors. The market trusts that the central bank's decisions are based on objective economic analysis. For example, in countries with an independent central bank, bond yields are more likely to reflect market expectations and the central bank's monetary stance. If investors believe that the central bank's actions are subject to political interference, they may lose confidence, leading to capital outflows and instability in financial markets.
- **Currency Stability:** A central bank that is independent is in a stronger position to maintain the stability of the national currency. It can implement policies to manage exchange rate fluctuations effectively. If a government has direct control over the central bank and uses monetary policy for short-term exchange rate manipulation to gain a competitive edge in international trade (for example, through competitive devaluation), it may lead to retaliation from other countries and global economic imbalances.

• Long-Term Policy Horizon

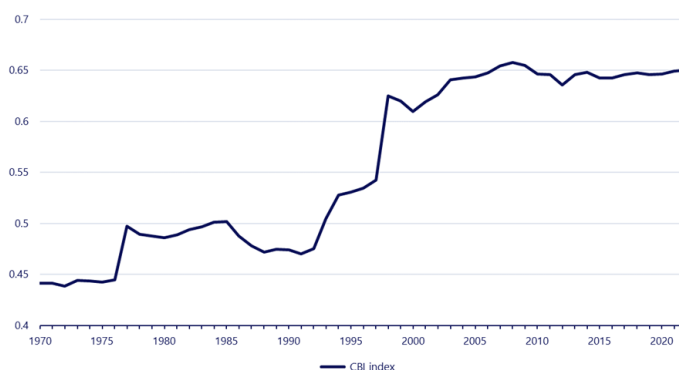
- **Avoiding Short-Term Political Cycles:** Politicians often have to face re-election and may be more concerned with short-term goals such as boosting employment or GDP growth in the run-up to an election. This could lead to policies that have negative long-term consequences, such as over-stimulation of the economy that causes inflation later. An independent central bank can take a more long-term view, focusing on sustainable economic growth and stability over multiple electoral cycles. For example, it can work on structural reforms in the financial system and monetary policy frameworks that may not yield immediate benefits but are beneficial in the long run.

The Evolution of Central Bank Independence

- A global movement toward central bank independence took shape in the wake of inflation spikes in the 1970s and 1980s.

- In the United States, Congress formally established the Federal Reserve's mandate of ensuring full employment and price stability and took steps to insulate it from political interference through the Federal Reserve Reform Act of 1977.
- The Bank of England and the Bank of Japan gained independence in 1997.
- The European Central Bank was established as an independent central bank in 1998, replacing national central banks in European economies, some of which were subject to varying degrees of political influence.

Figure 2. Central Bank Independence (CBI) in Advanced Economies, 1970-2022



Council of Economic Advisers

Sources: Romelli (2024); The World Bank CEA calculations.

Note: CBI index is weighted by gross domestic product (GDP) for countries classified as advanced economies by International Monetary Fund.

As of May 22, 2024 at 5:00pm

CBI has become much more prevalent among advanced economies.

Central bank independence issues

- Central bank should maintain independence from the government;
- Central bank's independence from the government is always relative.

Q: Why is central bank independence from the government always relative?

- From the perspective of the relationship between finance and economy, society and politics, finance is ultimately a subsystem;
 - The central bank is an integral part of the macro-control system, not isolated.
 - The activities of central banks are always carried out under the authorization of the government.
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MONETARY SYSTEM AND POLICY

MONETARY SYSTEM

China's monetary system

- The legal tender of China is RMB. It is credit money.
- With yuan as the monetary unit, there are 7 kinds of main currency and 6 kinds of auxiliary currency (paper or mint) with decimal places below yuan.



2019年版



2020年版



China's monetary system

- RMB is the only legal currency in China. Foreign exchange circulation is prohibited.
- The issuance of RMB is highly unified and centralized in the People's Bank of China.
- The issuance of RMB is based on a commodity material owned by the state.
- Gold reserves and foreign exchange reserves are mainly used as reserves for international payments.

The role of money in the economy

- The role of money in the macro-economy
- The role of money in the micro-economy

The role of money in macroeconomy

- 1. Money is a tool to improve the efficiency of social resource allocation
 - **Money is a representative of social wealth.** Price, interest rate, credit and other economic levers are directly related to money, which can help to realize the distribution of monetary funds and adjust the surplus and shortage of funds.
- 2. Money is a tool for transmitting information
 - **Price changes can effectively convey the information of commodity economy** and achieve the balance between total supply and demand. The price mechanism can effectively regulate the behavior of firms.
- 3. Money is a tool to achieve macroeconomic control
 - **Money is the basic tool to implement fiscal policy and monetary policy:** fiscal revenue and expenditure are expressed by the amount of money; Any instrument of monetary policy cannot be separated from the measurement of money; To assess the effect of macroeconomic policy, we need to use money, such as GDP, GNP, NI and other indicators are expressed in money.

The role of money in microeconomy

- 1. Money is the first and continuing driver of commodity production
 - Before production activities, firms need to use monetary to buy materials and labor force. The continuity of the production process requires continuous additional capital.
- 2. Money capital is a prerequisite for the expansion of reproduction
 - Only by increasing the input of money capital can the factors of production be combined on a larger scale.
- 3. Money is the implementation of economic accounting tools
 - Money is used as a unit of account to calculate costs, prices and profits.
 - Based on the unit of currency, enterprises can measure the production effect from the aspects of input and output, so as to effectively supervise the production activities.
- 4. Money is the main form of income distribution
 - Money is the main tool of enterprise income distribution. The distribution of money income is based on the capital, land, management and physical and mental labor provided by people, and the corresponding forms are profit, interest, wages and land rent.

The modern monetary hierarchy

- Liquidity of money
- Monetary aggregates
- Monetary structure

Liquidity of money

- Meaning of liquidity:
 - For a single cash currency, liquidity of money refers to the ability to convert money into commodities;
 - For multiple forms of money, liquidity of money refers to the ability of mutual conversion between currencies.
- The simplest way to measure the liquidity of a financial asset is its ability to convert into the most liquid cash currency.
- The meaning of conversion capacity:
 - (1) the ability to convert easily and freely;
 - (2) the degree of loss in the conversion process.
- Currencies that convert freely and lose little are strictly liquid currencies.
 - Cash and demand deposits in circulation are the most liquid and can be used directly as a medium of exchange;
 - Time deposits, savings deposits and other short-term liquid assets (stocks, bonds, commercial paper, etc.) have varying degrees of liquidity and are potential purchasing power, or quasi-money.

Monetary aggregates

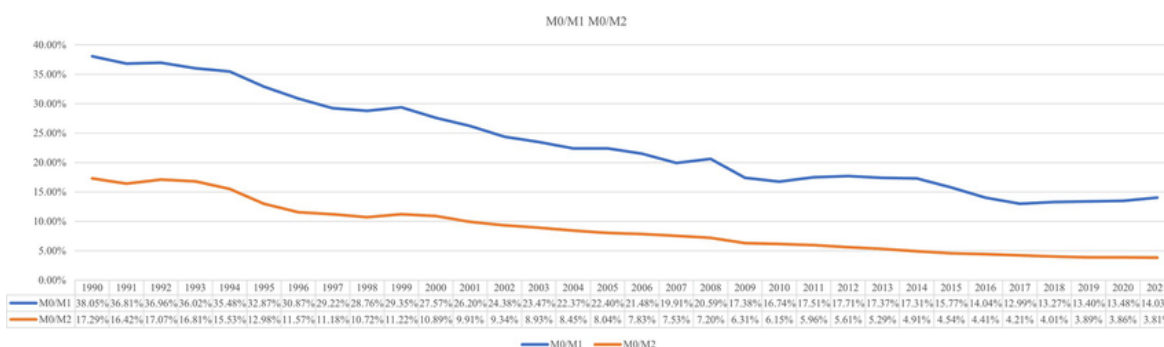
- Broader classification of money supply: Monetary aggregates
 - M0 = cash in circulation
 - M1 = M0+ demand deposits at commercial banks
 - M2 = M1+ time deposits and savings deposits in commercial banks
 - M3 = M2+ time deposits and savings deposits from other financial institutions
 - M4 = M3+ other short-term liquid assets (Treasury bills, commercial paper, bank acceptance bills, short-term corporate bonds, life insurance policies, etc.)
- Classification by the Federal Reserve System of the United States:
 - L, a measure of highly liquid assets, is added to the M-series, but the L is actually a non-monetary aggregate:
 - L = M3+ other short-term liquid assets (US savings bonds, commercial paper, bank acceptance notes, short-term government bonds, etc.)
- Classification by the People's Bank of China:
 - M0 = cash in circulation
 - M1 = M0+ demand deposits (Note: The focus of China's monetary control is M1)
 - M2 = M1+ time deposits + savings deposits + other deposits (postal savings deposits)

Monetary structure

- Definition: The monetary structure of a currency, also known as the liquidity structure of a currency, is the ratio between the balance of a more liquid currency and a less liquid currency. Main indicators: M0/M2, M1/M2
- The ratio between transactional money balance and broad money balance (non-transactional money balance) is examined to reflect the changes in different economic environments.
 - M0 and M1 are transactional money balances, through which goods and other assets are traded;
 - M2 are non-tradable money balances, usually used as stores of value.
 - In times of high inflation, the liquidity ratio of money increases;
 - In deflation, the return on deposits increases and the liquidity ratio of money decreases.
- The central bank's judgment:
 - The rise of monetary liquidity means stronger public expectations of inflation;
 - The decline of monetary liquidity means lower expectation of inflation or a trend of deflation.

Changes in China's monetary liquidity structure

- From 1990 to 2021, the structure of monetary liquidity continued to decline.
- In 1997, 2008 and 2018, deflation began to occur, with negative growth of prices and a decline of GDP growth rate.



Demand for Money in Circulation

Q: What determines the demand for money in the circulation of commodities?

The amount of money required in the circulation of commodities depends on 3 factors:

- the quantity of commodities in circulation;
- the price level of commodities;
- the velocity of money circulation.

The demand for money in circulation can be expressed by:

$$M = P \times Y / V$$

Where:

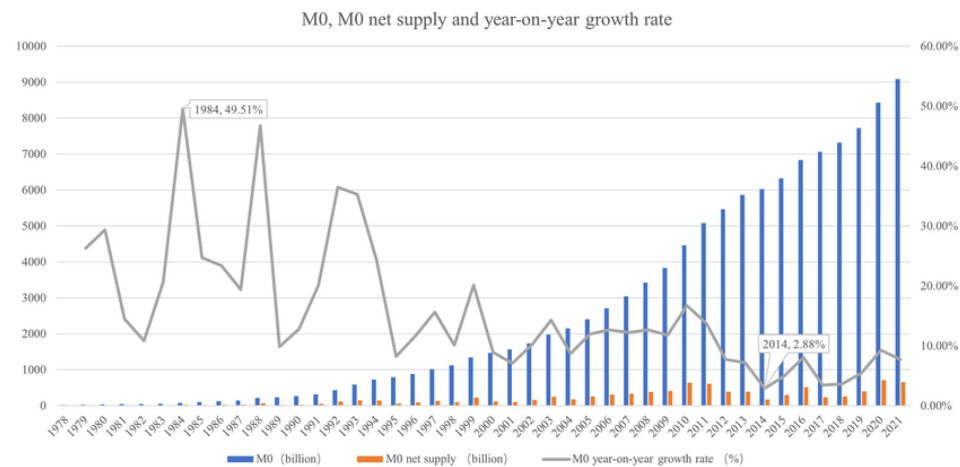
M : Money supply (or money in circulation)

V : Velocity of money (how frequently money is used in transactions)

P : Price level

Y : Real output (real GDP)

Changes in China's monetary supply



China's money demand($M = P \times Y/V$)

China Core Consumer Prices

Summary Forecast Download ▾

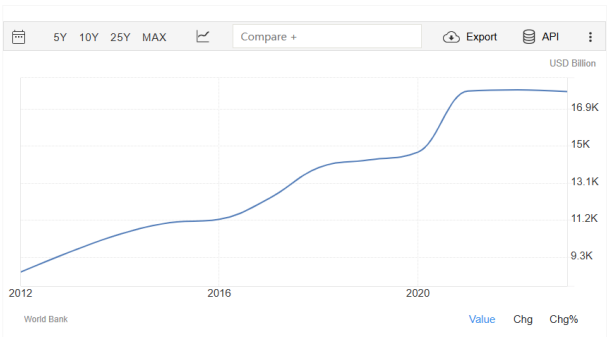
Core Consumer Prices in China increased to 100.30 points in October from 100.10 points in September of 2024. Core Consumer Prices in China averaged 101.21 points from 2008 until 2024, reaching an all time high of 102.50 points in June of 2011 and a record low of 98.40 points in August of 2009. source: National Bureau of Statistics of China



China GDP

Summary Stats Forecast Download ▾

The Gross Domestic Product (GDP) in China was worth 17794.78 billion US dollars in 2023, according to official data from the World Bank. The GDP value of China represents 16.88 percent of the world economy. source: World Bank



MONETARY POLICY

Monetary policy and its objectives

- What is monetary policy
- The evolution of China's monetary policy

What is monetary policy?

- Monetary policy usually refers to a sum of policies and measures taken by a central bank to achieve a given economic goal and adjust the money supply and interest rate by using various tools.
- Monetary policy includes:
 - (1) Policy objectives;
 - (2) Policy instruments used to achieve the objectives;
 - (3) expected policy effects.

Objectives of monetary policy

- The objectives of monetary policy vary from country to country.
- In a country, the target of monetary policy varies in different periods.
- Single objective or multiple objectives?
 - In a specific period of time, monetary policy may pursue multiple objectives, most of which include economic growth, full employment, stable prices and balance of payments;
 - Some explicitly highlight one objective: currency stabilization (including exchange rate stabilization).
- ✓ *The dominant view of monetary policy at the IMF and other international financial organizations has emphasized a single objective of currency stabilization.*

Inflation Targeting

- A single objective to maintain price stability or “inflation targeting”, refers to a policy framework in which a central bank explicitly targets inflation rate as the primary or even sole goal of monetary policy.
- The core of the policy is the inflation rate or target zone determined in the future period of time as the monetary policy target.

Q:Why target inflation?

- Because interest rates and inflation rates tend to move in opposite directions, the likely actions a central bank will take to raise or lower interest rates become more transparent under an inflation targeting policy.
- Inflation targeting enhances the transparency of monetary policy.
- Inflation targeting leads to increased economic stability.

China's understanding of monetary policy

- Under the planned economy system (1953-1992), monetary policy did not play an important role in decision-making.
 - In the second half of 1989, a strong tightening of monetary policy was adopted to bring down the excessively high inflation rate;
 - In late 1989 and 1990, monetary policy was expanded twice to stop the economic downturn. This can be seen as a typical example of top policy makers starting to use monetary policy.
- In October 1992, the 14th National Congress of the Communist Party of China clearly stated that the goal of China's economic system reform was to “establish a socialist market economy”. Monetary policy has also been clearly included in the macroeconomic control system.

Why 1992?

Q: Why didn't China have a substantive modern monetary policy before 1992?

- Constraints of the Economic System
 - Before 1992, China had been implementing a highly centralized planned economic system for a long time. Economic activities such as production, distribution, exchange, and consumption were basically arranged by the state plan in a unified manner. Resource allocation mainly relied on mandatory plans and administrative means.
 - Under this system, money and credit only served as auxiliary tools for the planned economy, which were used to meet the needs of fund allocation and accounting within the national plan, and couldn't play an independent role in macroeconomic regulation and control.
- Imperfection of the Financial System
 - At that time, China's financial system centered around the People's Bank of China, which assumed the dual functions of a central bank and a commercial bank simultaneously.
 - Under this financial system, banks lacked the autonomy in operation and couldn't flexibly adjust the scale of credit and the direction of fund investment according to market demands and economic situations. Therefore, it was difficult to effectively use monetary policy tools for macroeconomic regulation and control.

Why 1992?

Q: Why didn't China have a substantive modern monetary policy before 1992?

- Lack of Clear Monetary Policy Objectives
 - During the period of the planned economy, objectives such as economic growth and price stability were mainly achieved through the state plan. The objectives of the monetary policy were not clear, lacking independence and autonomy, and it was difficult to form a clear and stable monetary policy framework.
 - The monetary policy at that time was mainly to meet the fund needs under the planned economy rather than to achieve macroeconomic goals by adjusting the money supply and interest rates.
- Singleness of Monetary Policy Tools
 - The monetary policy tools at that time were relatively single, mainly relying on credit plans and cash plans to control the money supply, lacking flexibility and diversity.
 - Such single monetary policy tools were difficult to cope with complex and changeable economic situations and couldn't effectively adjust the market supply-demand relationship and economic operation.
- Low Sensitivity of Economic Entities to Monetary Policy
 - Under the planned economic system, state-owned enterprises were the main components of the economy. Their production and business activities were mainly arranged by the mandatory instructions of the state plan, and they were less sensitive to changes in market signals and monetary policy.

China's monetary policy target after 1992

- According to the Law of the People's Republic of China on the People's Bank of China, the objective of China's monetary policy is to "***maintain the stability of the value of the currency and promote economic growth***". Between "stability" and "growth", there is a sequence, primary and secondary.
- Discussion: What objectives should China's monetary policy aim at?
 - Emphasizing price stability as the only objective. But there is also another single objective: promoting economic growth.
 - or, give consideration to both economic growth and price stability.
 - or, include full employment, balance of payments, economic growth and price stability.

The goals of the People's Bank of China

- Zhou Xiaochuan's answer in 2016:
*"The multi-objective system adopted by the People's Bank of China includes **not only** the four annual goals of price stability, promoting economic growth, promoting employment, and maintaining a general balance of international payments, **but also** the two dynamic goals of financial reform and opening up, and developing the financial market."*
- At the same time, Zhou Xiaochuan said frankly:
*"It is true that the PBOC's pursuit of multiple objectives may affect its **independence**."*

Policy transmission mechanism

- In the process of setting targets, using tools and achieving the expected policy effects, there are still some links, including intermediary indicators and policy transmission mechanisms.
 - Policy transmission mechanism is one of the most popular research topics in monetary policy research.
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MONETARY POLICY INSTRUMENTS

Monetary policy instruments

- General monetary policy instruments
 - Include open market operation, deposit reserve requirement and discount rate.
 - General monetary policy tools are mostly indirect tools.
- Selective monetary policy instruments
 - Include loan scale control, special deposit, window guidance for financial enterprises, etc..
 - Selective monetary policy tools are mostly direct tools.

Monetary policy instruments

- General policy instruments
 - General policy tools are frequently used to adjust aggregate amount of money supply and credit.
 - Deposit reserve system
 - Deposit reserve refers to the deposits that financial institutions prepare in the central bank to ensure customers' withdrawal of deposits and fund settlement needs. The proportion of deposit reserve required by the central bank to its total deposits is the deposit reserve ratio. It is one of the most aggressive monetary policy tools.
 - Rediscount policy
 - Rediscounting means that commercial banks or other financial institutions transfer the unmatured bills obtained by discounting to the central bank. For the central bank, rediscounting is the purchase of bills held by commercial banks and the outflow of real money to expand the money supply. For commercial banks, rediscounting means selling discounted bills to solve a temporary shortage of funds. The rediscount process is actually the process of bill trading and capital transfer between commercial banks and the central bank.
 - Open market operations
 - refer to the open trading of securities by the central bank in the money market. When the central bank considers it necessary to shrink the monetary supply, it sells securities, withdrawing a portion of the monetary base accordingly, and reducing the amount of funds available to financial institutions; Conversely, when the central bank thinks it needs to loosen money, it buys securities and expands the supply of base money, directly increasing the amount of money available to financial institutions.

Monetary policy instruments

- Selective policy instruments
 - Selective policy tools are used selectively to regulate and influence credit in some special areas.
 - Consumer credit control
 - refers to the central bank's control over the sales financing of consumer credit control. For example, it restricts consumer credit such as installment payment.
 - Credit control in securities market
 - the central bank stimulates or inhibits securities trading by stipulating and regulating the minimum margin rate in credit trading, futures trading and options trading.
 - Real estate credit control
 - the central bank controls real estate mortgage loans of commercial banks. It mainly stipulates the maximum loan limit, the longest term of the loan and the minimum amount of the first cash payment.
 - Prime interest rate
 - refers to the interest rate that is lower than the general loan interest rate stipulated for a specific loan object.
 - Special deposit
 - refers to the deposit formed by the central bank for special fund needs and pooling a certain amount of funds from some financial institutions, such as The RMB deposits of diplomatic representative offices, consular offices and their personnel in China, foreign exchange bond deposits, military RMB deposits.

Monetary policy instruments

- Complementary policy instruments
 - Central banks sometimes use some complementary monetary policy tools to exercise direct and indirect control over credit.
 - Direct credit control
 - refers to the direct control over the credit activities of financial institutions, especially commercial banks, by administrative orders including interest rate ceilings, credit quotas, liquidity ratios and direct intervention.
 - Indirect credit control
 - central bank indirectly influences the credit creation of commercial banks through moral advice and window guidance.

Monetary policy instruments

- New tools
 - SLF
 - **Standing Lending Facility**, its main function is to meet the liquidity needs of financial institutions with long maturities and large amounts. The main targets are policy banks and large commercial banks. The term is 1-3 months. SLFs are issued in the form of collateral, including bonds with high credit ratings and high-quality credit assets.
 - MLF
 - **Medium-term Lending Facility**, is similar to SLF. The maturity of MLF is longer, usually 3 months, 6 months and 1 year. Moreover, the central bank requires financial institutions to invest the loan funds applied through MLF in "agriculture, rural areas and farmers" and small and micro enterprises.
 - SLO
 - **Short-term Liquidity Operations**, is an ultra-short-term reverse repurchase and mainly focuses on short-term repos within 7 days. Repurchase operations are divided into two types: repo and reverse repo. Reverse repos are when the central bank lends money to banks; Repos are when the central bank drains money from banks.
 - PSL
 - **Pledged Supplementary Lending**, allows commercial banks to borrow money from the central bank by pledging their assets.

China's monetary policy tools

- Before 1998, dominated by direct tools, such as credit (loan) scale, cash plan and other tools.
- After 1998, mainly adopted indirect tools to regulate the total money supply.
- At present, China's monetary policy tools mainly include open market operations, deposit reserve, re-lending and re-discount, standing lending facility, interest rate policy, exchange rate policy, moral advice and window guidance.

China's monetary policy tools

- 1. Open market operations in financial markets
- 2. Adjusting the discount rate of relending
- 3. Adjusting the required reserve ratio
- 4. Formulating and implementing interest rate policies

Open market operation in financial markets

- Open market operation is the main monetary policy tool used by the central bank to handle the monetary base and adjust the market liquidity.
- Through the securities and foreign exchange transactions between the central bank and the designated dealers, the target of monetary policy regulation is achieved.
- China's open market operation consists of
 - RMB operation
 - foreign exchange operation

Foreign exchange operations

- Its objectives are to guide foreign exchange transactions, balance the supply and demand of foreign exchange, and maintain the stability of the RMB exchange rate.
 - When buying US dollars, releasing RMB can increase the money supply and have the function of economic expansion;
 - Otherwise, if selling US dollars, it is contractionary.

RMB operations

- In terms of operation types, it mainly includes:
 - Repo (Repurchase Agreement) transactions
 - Cash bond transactions
 - Issuing Central Bank bills

RMB operations

- Repo transactions
 - Repos are transaction in which the PBOC sells securities to primary dealers with an agreement to buy them back at a specified date in the future.
 - Repo refers to the operation in which the central bank withdraws liquidity from the market
 - Repo at maturity refers to the operation in which the central bank provides liquidity to the market.
 - Reverse repos are transactions in which the PBOC purchases securities from primary dealers with an agreement to sell the securities to them at a specific date in the future.
 - Reverse repo is an operation in which the central bank releases liquidity into the market
 - Reverse repo at maturity is an operation in which the central bank withdraws liquidity from the market.
- Cash bond trading
 - In cash bond buying, the central bank buys bonds from the secondary market and releases base money.
 - The selling of cash bonds means that the central bank directly sells the bonds and takes back the base money.
- Issuing Central bank bills
 - Central bank bills are short-term bonds issued by the People's Bank of China.
 - The central bank can withdraw base money by issuing central bank bills, and the maturity of central bank bills will release base money.

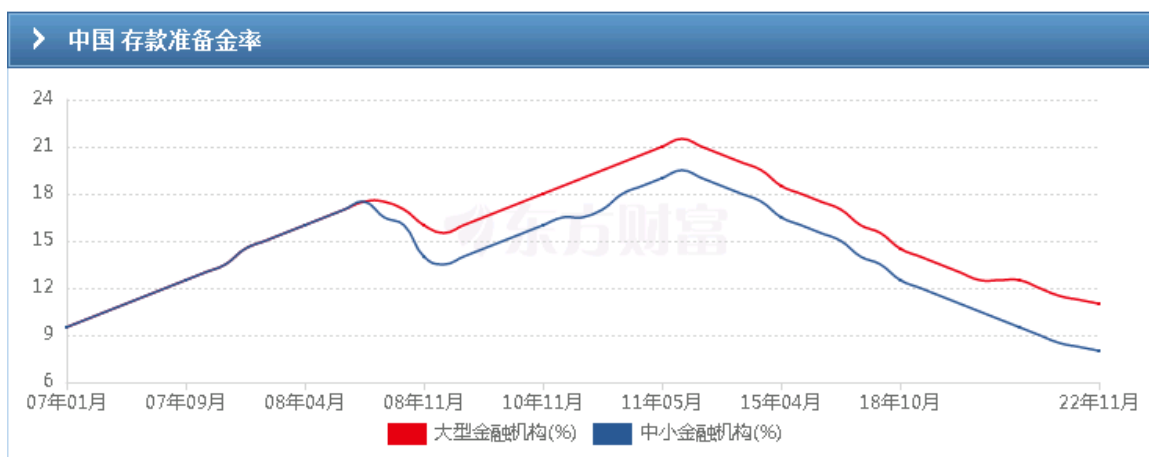
Adjust the discount rate of re-lending

- The rediscount rate refers to the interest rate paid by commercial banks when they re-discount the unmatured qualified commercial papers (that have been discounted with customers) to the central bank.
- Central bank could influence the credit scale of commercial banks and the market interest rate by adjusting the rediscount rate, thus affecting the money supply.
- The specific adjustment process is as follows:
 - Lower rediscount rate → lower market interest rate, lower financing cost of commercial banks to the central bank → expansion of credit scale → increase of money supply
 - Higher rediscount rate → higher market interest rate, higher financing cost of commercial banks to the central bank → contraction in credit scale → decrease in money supply

Adjust the required reserve ratio

- A deposit reserve refers to, in accordance with regulations, the funds that financial institutions set aside at the central bank to ensure customers' withdrawal of deposits and fund clearing needs.
- The deposit reserve ratio is the ratio of the deposit reserve to its total deposits.
- By adjusting the required deposit reserve ratio, the central bank affects the credit fund supply capacity of financial institutions, thus indirectly regulating the money supply.
 - The higher the required reserve ratio is, the more the deposit reserve ratio will be paid by commercial banks and the less the funds they can use, which will lead to a decrease in the total amount of social credit.
 - The lower the required reserve ratio is, the less the deposit reserve ratio will be paid by commercial banks and the more funds they can use, which will lead to the increase of social credit.

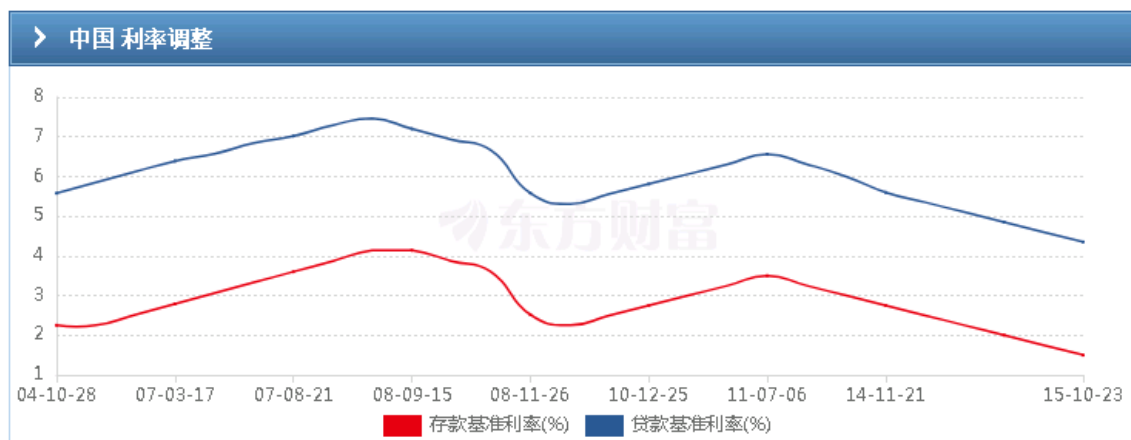
The trend of China's deposit reserve ratio



Adjust interest rate policy

- Central banks timely use interest rate tools to adjust the level and structure of interest rates, thus affecting the supply and demand of social funds and achieving given goals of monetary policy.
- The interest rate instruments mainly include:
 - (1) Adjust the benchmark interest rate of the central bank, including: relending rate, rediscount rate, required deposit reserve rate, excess deposit reserve rate.
 - (2) Adjust the legal deposit and loan interest rates of financial institutions.
 - (3) Set the floating range of deposit and lending rates of financial institutions.
 - (4) Adjust the structure and types of various interest rates, etc.

China's benchmark deposit and loan interest rates



Outlook: PBOC's interest rate policy

- In recent years, the People's Bank of China has strengthened its use of interest rate tools. The way of interest rate regulation has become more flexible.
- With the gradual promotion of interest rate liberalization reform, interest rate policy will gradually transform from direct regulation to indirect regulation of interest rate (open market operations).
- Interest rate will play a more important role in the national macro-control system.

Outlook for China's Monetary Policy

- Policy Objectives
 - In the future, China will continue to create a favorable monetary and financial environment for **stable economic growth and high-quality development**.
 - **Focusing on the Balance between Price and Economic Growth:** Promoting a reasonable rebound in prices will be an important consideration in formulating monetary policy, driving prices to remain at a reasonable level.
- Policy Tools and Regulatory Approaches
 - **Downplaying Quantity Targets and Strengthening Interest Rate Regulation:** The monetary policy framework will gradually reduce its focus on quantity targets, such as the money supply. Instead, more emphasis will be placed on the role of interest rate regulation to continuously enhance the adaptability and effectiveness of financial support for the high-quality development of the real economy.
 - **Maintaining Exchange Rate Stability:** Adhere to the managed floating exchange rate system based on market supply and demand, with reference to a basket of currencies for adjustment. Implement comprehensive measures, strengthen expectation guidance, prevent the formation of one-sided and consistent expectations and their self-fulfillment, resolutely guard against the risk of excessive exchange rate fluctuations, and keep the RMB exchange rate basically stable.